ROLLS-ROYCE HOLDINGS PLC

Independent equity research & valuation

Rating: **SELL**

Blended value £8.66 vs price £13.67 (37% downside)

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LSE: RR. • Market data as at 8 October 2026 • Latest results H1 2026
Educational research project — not investment advice

A great turnaround, priced for even more

£13.67	£8.66	-37%	2.1x
Share price, 8 Oct 2026	Blended fair value	Implied downside	Cash flows needed vs our base case

- Operating profit up 41% in 2025; 2026 guidance raised to £4.7–4.9bn; net cash £2.1bn; £7–9bn buybacks planned for 2026–28
- Shares trade on 32.6x 2026E EPS and a 3.5% FCF yield; even the bull-case DCF (£8.36) is below the price
- To justify £13.67, cash flows must be about twice our base case (which meets the 2028 targets), or the discount rate must fall to about 7%
- Rating: SELL on valuation — the business is high quality, but the expectations built into the price leave little margin of safety

Three divisions, one economic engine: the aftermarket

Civil Aerospace

52% of revenue • 20.5% margin

Trent widebody engines; ~69% services revenue from flying-hour LTSAs; LTSA receipts £6.0bn in 2025

Defence

24% of revenue • 14.4% margin

Combat, transport, naval and submarine propulsion; B-52 F130, GCAP; £17.5bn backlog

Power Systems

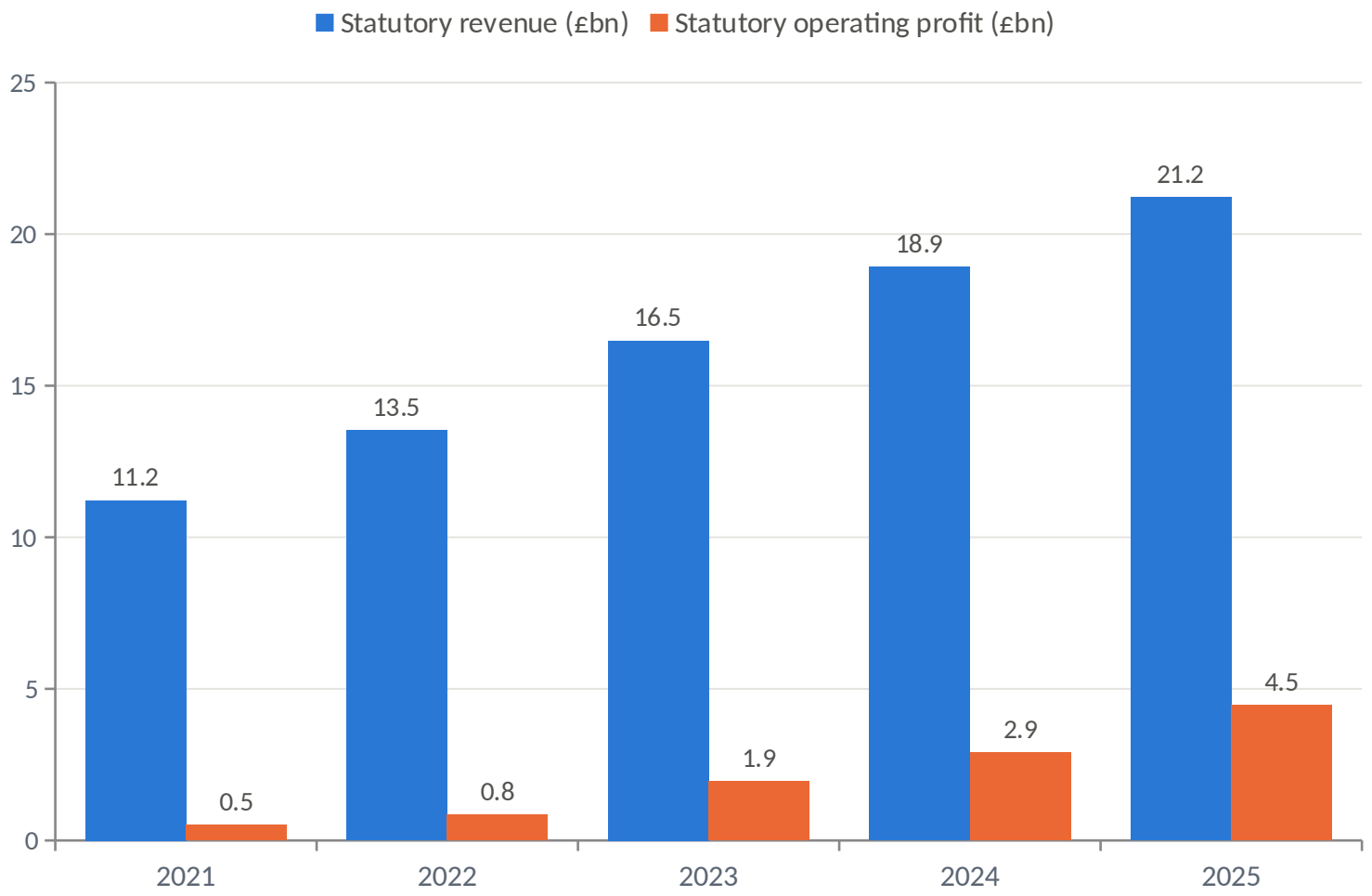
24% of revenue • 17.4% margin

mtu gensets for data centres, government and marine; battery storage; SMR optionality

Engines are often sold at thin margins; profit comes from decades of servicing the installed fleet. Flying hours, time-on-wing and LTSA pricing drive value.

Shares of 2025 underlying revenue (£20.1bn) and 2025 underlying operating margins. Source: FY2025 results.

Revenue nearly doubled; operating profit grew ninefold



17.3%

Revenue CAGR 2021–25

4.6% → 21.1%

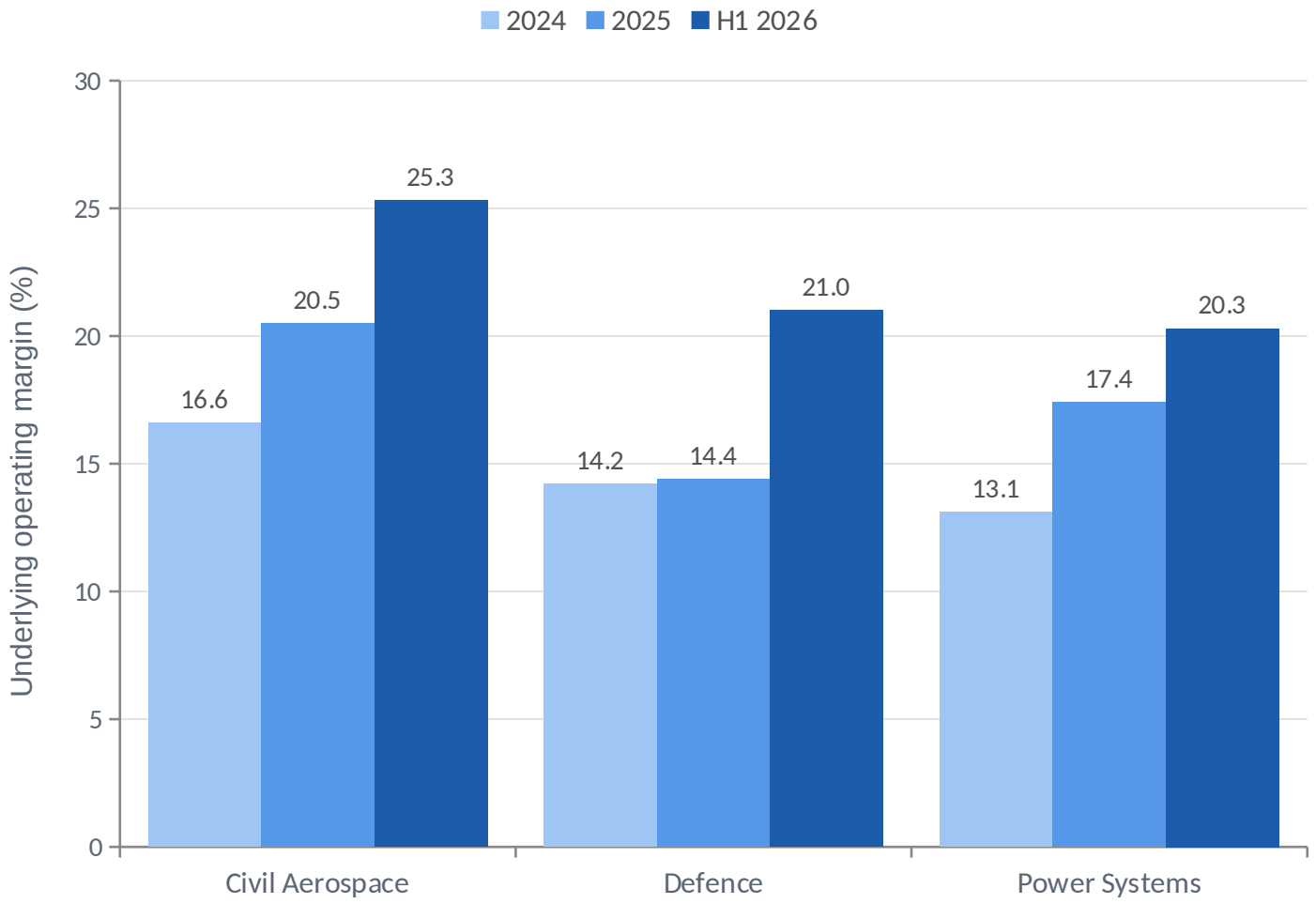
Statutory operating margin

£(1.5)bn → £3.3bn

Free cash flow 2021 → 2025

Source: Rolls-Royce annual reports; model tab Historicals. FCF is company-defined.

Margins expanded in every division



- Civil: pricing, contract renegotiation and better time-on-wing; 58% of divisional profit
- Defence: H1 2026 margin of 21% is well above the 14–16% target and partly reflects timing
- Power Systems: data-centre demand; operating profit +52% in 2025
- H1 growth (Civil +29%, Defence +17%, PS +28% organic) should not be annualised

H1 2026: guidance raised again

+24.5%
H1 underlying revenue growth

+46%
H1 underlying operating profit

22.5%
H1 margin (19.1% in H1 2025)

£2.1bn
Net cash, 30 Jun 2026

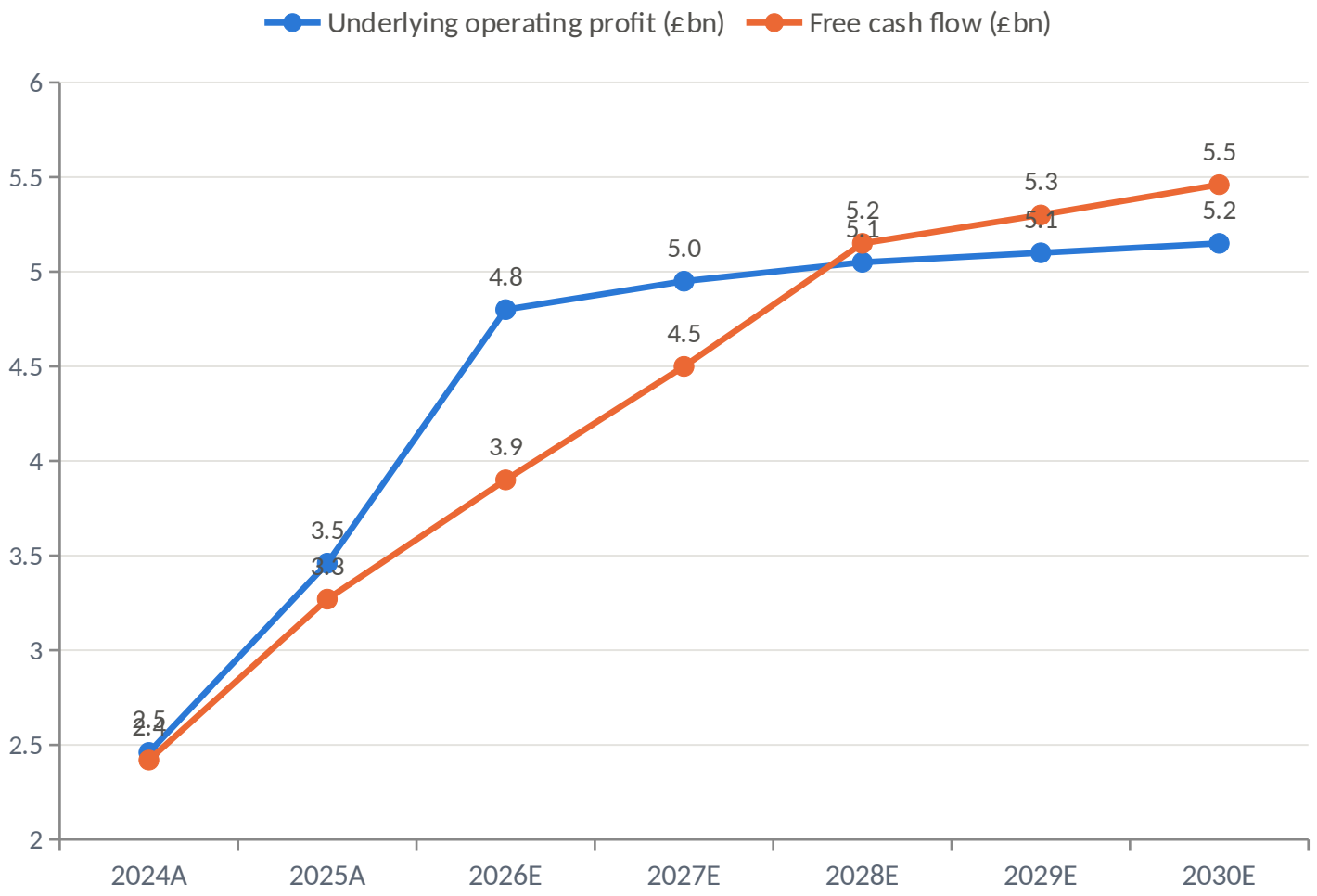
FY2026 guidance	Feb 2026	Jul 2026	2028 target
Underlying operating profit	£4.0–4.2bn	**£4.7–4.9bn**	£4.9–5.2bn
Free cash flow	£3.6–3.8bn	**£3.8–4.0bn**	£5.0–5.3bn
Operating margin			18–20%

So what?

2026 guidance is already close to the 2028 targets. New mid-term targets are likely, and that is the main upside risk to our rating.

Source: Rolls-Royce FY2025 (26 Feb 2026) and H1 2026 (30 Jul 2026) results.

Base case: 2028 targets met, then modest growth



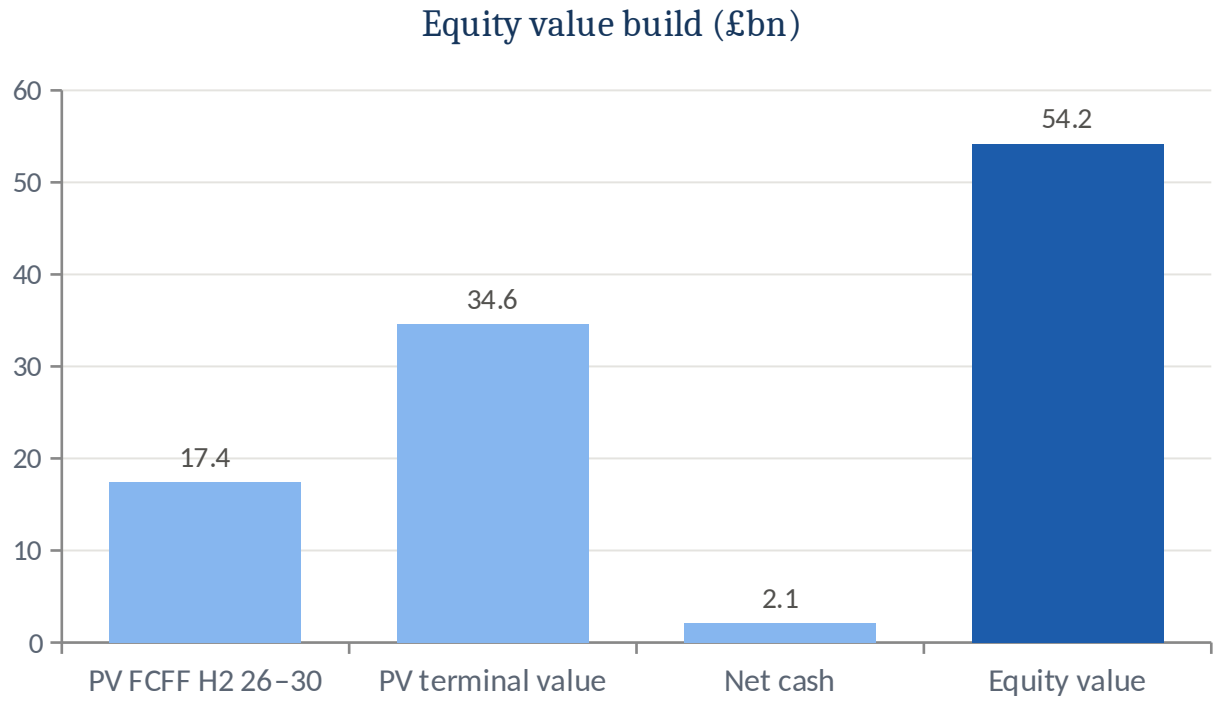
	2026E	2028E	2030E
Revenue (£bn)	23.0	25.8	27.6
Op. margin	20.9%	19.6%	18.7%
EPS (p)	41.9	46.4	49.4
FCF (£bn)	3.90	5.15	5.46

Tax normalised to 26% (excluding one-off deferred-tax credits). Buybacks cut average shares from 8.28bn to 7.55bn. Deliberately conservative: margin drifts from 20.9% to 18.7%.

Source: model tabs Inputs and Forecast.

DCF: £6.58 per share on a 12.3% WACC

WACC build	Value
Risk-free (10Y gilt)	5.43%
Beta (FT; Python 1.65)	1.58
Equity risk premium	4.5%
Cost of equity	12.5%
After-tax cost of debt	4.8%
Weights E / D	96% / 4%
WACC	**12.3%**
Terminal growth	2.5%



£54.17bn ÷ 8.23bn shares = **£6.58** • terminal value 66.5% of EV • cross-check (FCF at cost of equity) £6.31

FCFF = company FCF + after-tax net finance costs; valued from 30 Jun 2026; mid-period discounting. Model tab DCF.

The gap comes from cash flows, not the discount rate

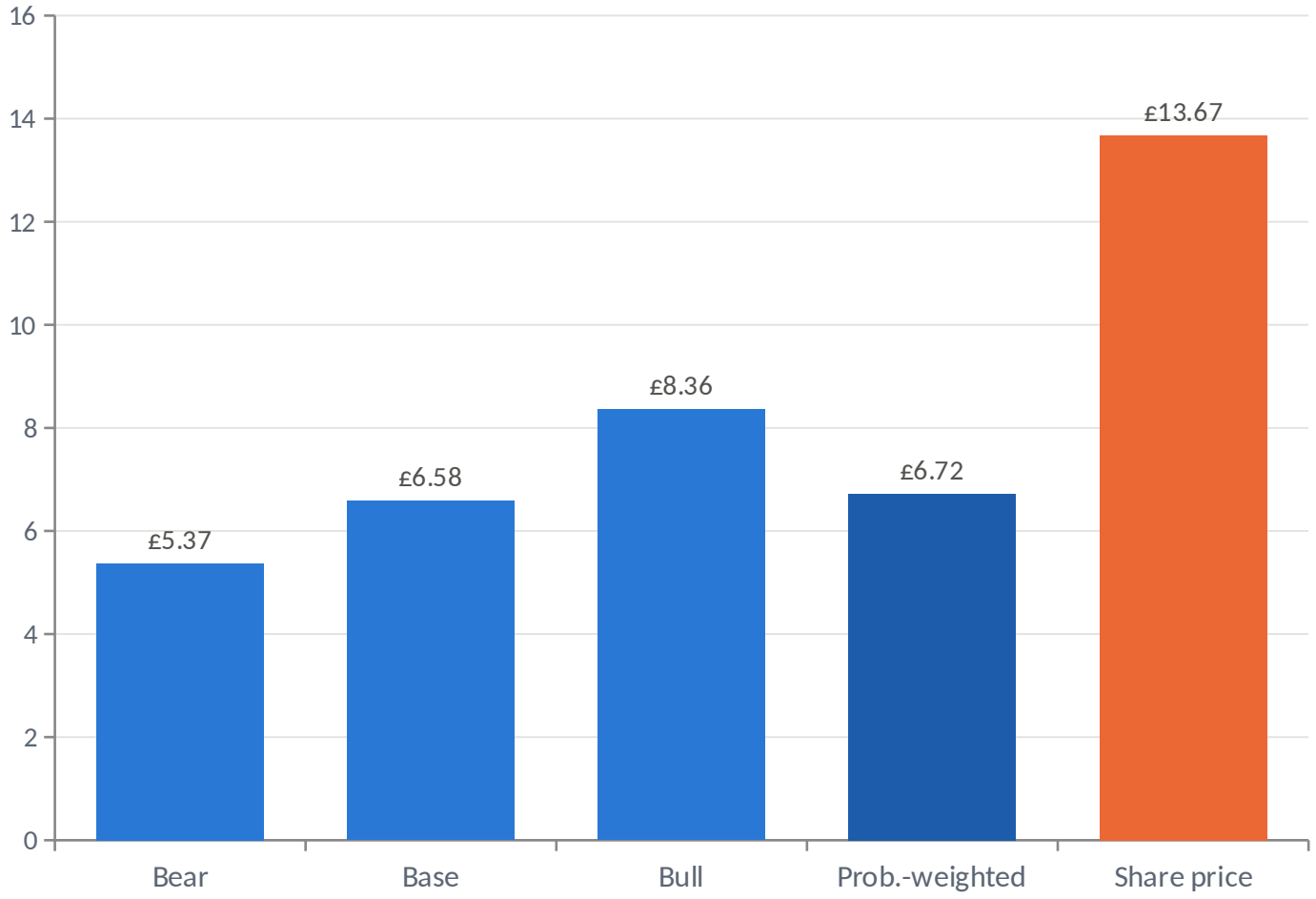
WACC \ g	1.5%	2.0%	2.5%	3.0%	3.5%
8.0%	£10.01	£10.67	£11.44	£12.38	£13.52
9.0%	£8.71	£9.18	£9.73	£10.37	£11.12
10.0%	£7.71	£8.07	£8.47	£8.93	£9.46
11.0%	£6.93	£7.20	£7.51	£7.85	£8.24
12.0%	£6.30	£6.51	£6.75	£7.02	£7.31
13.0%	£5.78	£5.95	£6.14	£6.35	£6.58

Reading the grid

- Base WACC 12.3%: £6.5–7.3 per share
- Even 8% WACC with 3.5% growth gives £13.52, still below £13.67
- Python beta (1.65) supports the CAPM inputs; Blume-adjusted beta (c.1.4) would lower WACC by about 1pt

Value per share (£). Model tab Sensitivity.

Even the bull case falls short of the share price



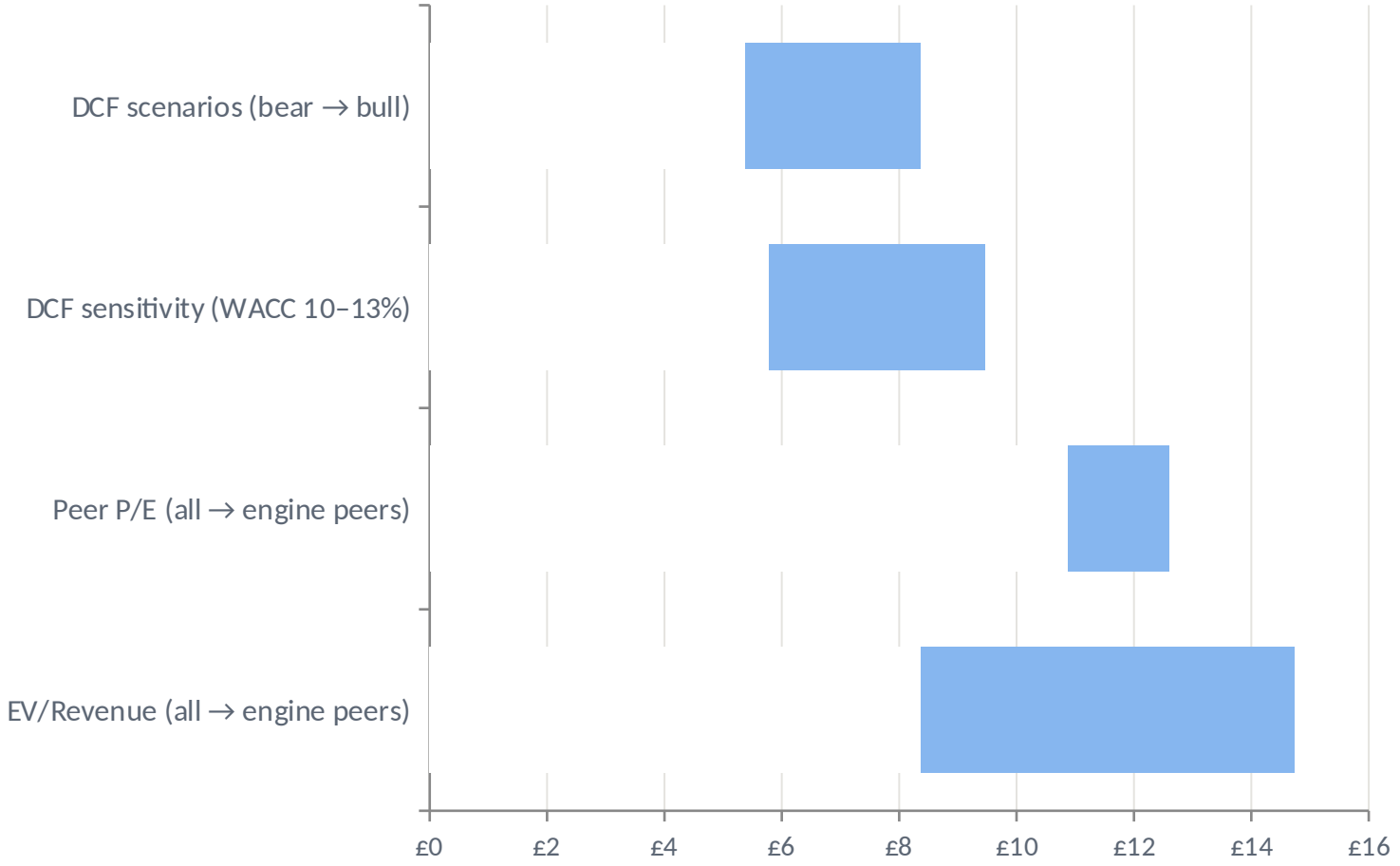
2.1x

Reverse DCF: cash flows the price needs vs our base case (2030 FCF of about £11–12bn), or a WACC of about 7%

- Bear: targets missed; 2030 FCF £4.5bn
- Base: 2028 targets met; 2030 FCF £5.5bn
- Bull: targets beaten; c.22% margin; 2030 FCF £7.0bn
- Weights 25 / 50 / 25

Model tabs Scenarios and Reverse DCF. WACC 12.3% in all scenarios.

Blended value £8.66: 37% below the share price



Method	£/share	Weight
DCF (FCFF/WACC)	£6.58	40%
Peer P/E (LTM)	£10.88	40%
Peer EV/Revenue	£8.37	20%
Blended	**£8.66**	
Share price	£13.67	
Rating	**SELL**	

Rule: BUY > +15%, SELL < −15%, otherwise HOLD.

Bars show the low–high range per method. Share price £13.67; only the engine-peer EV/Revenue range reaches it.

Big returns, but with big risk

41.8%
RR volatility (FTSE 12.6%)

−55.1%
Max drawdown (FTSE −13.4%)

1.65
Beta vs FTSE (corr 0.50)

+221.6%
2023 share-price return

Event	RR day return	FTSE
FY2022 results (23 Feb 2023)	+23.7%	−0.3%
July 2023 trading update	+21.2%	−0.2%
Capital Markets Day (28 Nov 2023)	+6.2%	−0.1%
FY2024 results (27 Feb 2025)	+15.9%	+0.3%

- FY2022 results: abnormal return +24.2%, $p < 0.0001$
- FY2025 results: only +2.5% abnormal (not significant) despite a strong beat, so good news is now expected
- Most risk is stock-specific (correlation 0.50)

Source: Python analysis (Yahoo Finance adjusted prices), Jan 2021 – 8 Oct 2026.

Bull vs bear

Bull case

- H1 margin 22.5% already beats the 2028 target; upgrades likely
- Aftermarket annuity on a growing installed base
- Defence spending and a £17.5bn backlog
- Data-centre power demand; SMR optionality
- £7–9bn of buybacks lift EPS

Bear case: our view on valuation

- Price needs about 2x the target-path cash flows: upgrades are expected, not a surprise
- Civil Aerospace is cyclical (recession, pandemic, airline stress)
- Defence margins flattered by timing (target 14–16%)
- Buybacks at 33x earnings create less value per £
- Supply chain, LTSA assumptions and FX

Conclusion: SELL on valuation

- Rolls-Royce is a far stronger company: higher margins, real cash generation, net cash and capital returns
- At £13.67 the price discounts cash flows about twice the published-target path; fair-value range £5.37–£8.36 (DCF), blended £8.66
- What would change our view: new mid-term targets well above £5.2bn operating profit, sustained 20%+ margins, or a price nearer £9–10
- Watch: flying hours, segment margins, FCF vs £3.8–4.0bn guidance, new targets, buyback pace, gilt yields

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